

COMPLIANCE INTELLIGENCE

Compliance Debt in CASP Operations

Five Early Warning Signals

DEFINITION

Compliance debt is the accumulated consequence of operating model decisions that were never formally made.

It emerges when governance responsibilities remain unclear, regulatory obligations are treated as future tasks, and operational ownership is assumed rather than defined.

Unlike technical debt, compliance debt does not merely slow delivery. It can delay launch, trigger remediation programs, increase audit exposure, or surface as a regulatory finding after operations begin.

FIVE EARLY WARNING SIGNALS

01	02	03	04	05
The MLRO exists on paper only	Regulatory reporting has no system owner	Vendor escalation is undefined	Custody decisions made operationally, not formally	Audit trail never tested end-to-end
The role has been appointed, but authority, escalation ownership, and operational responsibilities remain undefined.	Reporting obligations exist, but accountability for producing, validating, and submitting reports is fragmented across teams.	Critical vendors are governed by contracts, yet no clear escalation owner exists when SLA breaches occur.	The custody model exists in practice but has never been formally approved through governance channels.	Evidence exists across systems, vendors, emails, and tickets, but no one has verified whether the complete audit trail can be reconstructed.

HOW COMPLIANCE DEBT ACCUMULATES

Early Stage	<i>Debt is invisible. Assumptions are mistaken for decisions.</i>
Build Phase	<i>Debt begins influencing architecture, workflows, and delivery sequencing.</i>
Pre-Launch	<i>Debt appears as delayed approvals, rework, and last-minute remediation.</i>
Operations	<i>Debt becomes regulatory findings, operational incidents, audit observations, or loss of stakeholder confidence.</i>

**KEY
PRINCIPLE**

Compliance debt is rarely a legal problem. Most often, it is an operating model problem. The regulation is usually understood. The missing element is ownership, sequencing, governance, and operational design. The most expensive compliance issues often originate long before a single control fails — when critical operating model decisions are left unresolved.

THREE QUESTIONS TO ASK THIS WEEK

1. Who is operationally accountable for each regulatory reporting obligation?
2. Has the custody model been formally approved through governance processes, or is it still operating as an assumption?
3. What is the documented escalation path when a critical vendor breaches a service commitment?

If these questions cannot be answered clearly and immediately, compliance debt may already be accumulating.

Operational Readiness Assessment

The Operational Readiness Assessment evaluates governance, compliance, operational ownership, escalation structures, vendor dependencies, and execution risk across the full program lifecycle.

Available for CASP holders, tokenization platforms, and regulated digital asset programs preparing for launch, audit, or regulatory review.

Identify the gap before it becomes a finding.

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